



March 14, 2025

Mr. Faisal D'Souza

Technical Coordinator for the NCO and the NITRD Program

Networking and Information Technology Research and Development (NITRD)

490 L'Enfant Plaza S.W., Suite 8001

Washington, D.C. 20024

Request for Information on the Development of an Artificial Intelligence (AI) Action Plan
(Document Number 2025-02305)

The Financial Technology Association (FTA) appreciates the opportunity to respond to this request for information (RFI) from the Office of Science and Technology Policy (OSTP) on the Development of an Artificial Intelligence (AI) Action Plan (the “Plan”). We commend the proactive approach taken by the OSTP and the NITRD National Coordination Office (NCO) in soliciting input from stakeholders to ensure that policy actions promote U.S. AI leadership while minimizing unnecessary regulatory burdens.

FTA is a nonprofit trade organization representing leading technology-centered financial services (fintech) companies. Our members are committed to advancing the responsible use of technology, which significantly improves the industry’s ability to offer innovative financial products while maintaining robust compliance with regulatory standards.

AI is central to these advancements, enabling fintech companies to deliver personalized financial tools that help individuals select the right savings, investment, or budgeting products to fit their needs. Advisory tools, for example, can process an individual’s financial data to empower informed financial decisions, such as selecting higher-yield savings accounts, pursuing strategies to lower tax burdens, paying off higher-cost credit, or making optimal investment decisions.

In the credit or insurance underwriting context, AI models enhance accessibility, accuracy, and fairness¹ by providing holistic financial or risk profiles that lower rates, reduce fees, and/or minimize debt. By analyzing data from online transactions, utility bills, and other cash flow history, for example, fintech providers can develop more accurate, fair, and transparent underwriting models for consumers with limited traditional credit profiles.² This approach creates

¹ Fuster, A. et al. (2021) “Predictably Unequal? The Effects of Machine Learning on Credit Markets,” *Journal of Finance*, Forthcoming. Available at: <https://ssrn.com/abstract=3072038>.

² BLDS, L., Discover Financial Services and H2O.ai (2020) *Machine Learning: Considerations for Fairly and Transparently Expanding Access to Credit*. Available at: <https://h2o.ai/resources/white-paper/machine-learning-considerations-for-fairly-and-transparently-expanding-access-to-credit/>.



opportunities for consumers to build a credit record, ultimately offering them more affordable, tailored options.³

Finally, AI is increasingly used to enhance regulatory compliance, particularly in anti-money laundering (AML), fraud detection, and transaction monitoring. These “regtech” applications can reduce compliance costs while increasing the effectiveness of compliance programs, strengthening trust in U.S. financial markets and services.

Given these many benefits, the U.S. government should prioritize actions that promote responsible AI adoption and ensure America’s continued leadership in AI innovation. As stated in the RFI, “with the right government policies, the United States can solidify its position as the leader in AI and secure a brighter future for all Americans.” This opportunity is fully present in the context of America’s financial services and markets. We recommend the following key priorities for inclusion in a section of a national AI Action Plan that focuses on financial services and supports AI in advancing greater financial health, access, and opportunity for consumers and businesses:

1. **Support Responsible AI Adoption:** By recognizing the benefits of AI adoption in financial services and markets, and the appropriateness of existing legal and regulatory frameworks that have effectively governed financial services technologies for decades, the government can foster further AI development and adoption.
2. **Avoid Regulatory Fragmentation:** By promoting a unified national regulatory approach to AI technologies and avoiding piecemeal approaches of conflicting, duplicative and ambiguous rules, the government can ensure certainty and support U.S. industry abroad against hostile or anti-competitive measures.
3. **Apply Risk Management Frameworks and Support Technical Standards Formation:** By applying well-known risk management frameworks to AI adoption and supporting the development of standards through standards-setting organizations (SSOs), the government can clarify regulatory expectations and safeguard the financial system.
4. **Enhance Data Access and Privacy Protections:** By crafting comprehensive national data privacy legislation and unlocking high-quality data sets, the government can ensure responsible access to data needed to power AI models.
5. **Enhance Regulatory Agency Expertise, Support Use of AI to Advance Compliance, and Foster Public-Private Collaboration:** By developing regulatory innovation offices, ensuring agency hiring of subject-matter experts, and fostering public-private information sharing, the government can ensure it has the knowledge and expertise to keep pace with AI development and foster adoption.

³ Calomiris, C. W. (2020) “Chartering the Fintech Future, Presentation at the Cato Institute’s 38th Annual Monetary Economics Conference,” 19 November.



I. A National AI Action Plan Should Recognize the Benefits of AI in Financial Services and Confirm that Existing Legal Frameworks Permit Responsible AI Adoption

A. AI in Financial Services Benefits Consumers, Businesses and the Broader Economy

Fintechs are at the forefront of leveraging new technologies, including AI, to enhance services for consumers, investors, and small businesses. Many of the AI applications discussed below involve more “traditional” AI models and pre-date the advent of GenAI models, which are being carefully developed and integrated, starting with lower-risk applications within the financial services industry. More traditional AI models that have been developed or deployed in recent years are already allowing fintechs to significantly reduce the cost of essential services like credit, financial advisory, and payments. These forms of AI further enable fintechs to increase speed, financial access, and inclusion while offering tailored financial services that cater to a broader demographic.

Recent advances in AI can largely be traced to three key factors.⁴ First, advances in AI computer science have moved the field beyond prior rules-based approaches (e.g., if-then statements), allowing machines to identify correlations, connections, anomalies, and insights beyond human analysis. These advances hold substantial promise across a range of activities, including identifying creditworthy borrowers who would previously be declined to detecting suspicious financial activity that would have otherwise dodged rules-based detection.

With respect to GenAI, these models generate new content across multiple formats—including text, images, music, audio, and video—by leveraging advanced algorithms to learn from vast datasets and produce probabilistic outcomes. In the financial sector, GenAI improves operations by enhancing efficiency and augmenting intelligence. It can streamline routine operations, boosting productivity and reducing costs, while also providing insights, recommendations, and decision-making support to human experts. The development and deployment of GenAI in financial services has been approached cautiously to minimize risk.

Second, the development of exponentially more powerful and lower-cost computers and data storage systems, including through the use of public cloud, allows programmers to innovate AI models in ways that were unimaginable only a decade ago. Open-source tools have further accelerated innovation and facilitated broader access to AI tools for functions ranging from underwriting to compliance.⁵

Third, the world has experienced an exponential proliferation of data, which powers AI models, in just the past few years. While data quality is a key requirement, fintechs are uniquely positioned

⁴ Financial Technology Association (2021) *Shaping the future of finance*, Financial Technology Association (FTA). Available at: https://www.ftassociation.org/wp-content/uploads/2021/03/fta-launch-paper_shaping-the-future-of-finance.pdf.

⁵ Hermeling, M. (2020) *Open Source and Cloud: A Power Couple in Financial Services*, FINTECH MAG. Available at: <https://fintechmagazine.com/venture-capital/open-source-and-cloud-power-couple-financial-services>.



to address related challenges due to their digitally-native systems which improve core functions such as data standardization and platform interoperability. Fintechs are also leading efforts to empower consumers regarding data use, privacy, and control.

Against this backdrop, policymakers should explicitly support the adoption of AI technologies within the context of existing robust legal and regulatory frameworks. Regulators should use their soft power to highlight the benefits of AI technologies, preventing speculative fear from deterring the adoption of these new tools that will prove essential to maintaining competitiveness and best serving end-users in an increasingly digital economy.

Positive messaging from regulators will prove especially important for smaller banks and financial institutions, as ambiguity regarding regulator receptivity to new technologies can deter adoption. More specifically, smaller FIs often lack large compliance teams capable of parsing vague regulatory expectations—for this reason, clear and consistent messaging can encourage adoption and establish clear compliance requirements.

With respect to the impact of AI, as noted, these technologies are already transforming the financial sector—from banking to financial markets—by enhancing decision-making processes, personalizing customer experiences, and expanding access to financial services. Such advances will continue to foster competition in financial services and enhance financial inclusion through enhanced analysis of traditional and non-traditional data sources. Key applications that regulators should encourage include:

- *Credit Innovation*: Creating holistic financial profiles, expanding access, lowering rates and fees, and improving fairness and accuracy.
- *Financial Health & Wellness*: Delivering customized education and advice to help individuals manage budgets, savings, and personal finances.
- *Customer Service*: Enhancing customer experiences through personalized interactions and tailored support.
- *Fraud Detection*: Identifying and preventing fraudulent activities or illicit conduct.
- *Risk Management*: Assessing and managing various risks associated with financial products and services.
- *Regulatory Compliance*: Automating compliance processes and ensuring adherence to regulatory requirements.

With respect to regulatory compliance and monitoring, it is important to note that AI enhances the efforts of both financial institutions and regulators. For financial institutions, this translates to improved efficiency, reduced costs, enhanced risk controls, and expanded access to financial products and services. For financial regulators, AI offers enhanced capabilities for monitoring and



supervision, improved fraud detection, and more effective regulatory compliance oversight. The importance of regulators adopting such technologies is discussed in greater detail below.

B. In Order to Promote Clarity, Certainty and Adoption, a National AI Action Plan Should Confirm that Existing Laws and Regulations are Fit-For-Purpose in Allowing AI Adoption in Financial Services

AI and algorithms have been integral to financial services for decades, governed by comprehensive laws, regulations and risk management frameworks. This long-standing integration has enabled responsible innovation and development of the tailored financial solutions noted above, expanding service reach, improving markets, and enhancing risk mitigation efforts.

More specifically, financial services laws and regulations governing banking and capital markets conduct and activities are technology neutral. Beyond these laws and regulations, well-established risk management frameworks have for decades helped the financial services industry to responsibly adopt and incorporate a broad range of technologies, including AI, by mitigating model risks, third-party relationship risks, and IT risks.

In the consumer finance context, federal laws and regulations offer consumers numerous protections when their data is used to make underwriting or other financial decisions. The Fair Credit Reporting Act (FCRA) outlines acceptable uses of consumer data, while the Equal Credit Opportunity Act (ECOA) prohibits discrimination and establishes requirements implementing anti-bias measures. Other applicable federal consumer laws include the Truth in Lending Act (TILA), the Fair Housing Act (FHA), and laws protecting against unfair and deceptive acts and practices.

Consumer underwriting activities using AI technologies garner significant regulatory interest but remain equally subject to ECOA and its fair lending regulations. Additionally, lenders must search for less discriminatory alternatives (LDA) if a model results in a disparate impact on protected classes. Notably, AI technologies can *increase* transparency in understanding how a model reaches a conclusion, making LDA searches more accessible and effective, thereby increasing fairness and inclusivity in underwriting.⁶

Additionally, the federal banking agencies' third-party risk management⁷ guidance requires financial service providers to monitor and manage certain activities of third-party vendors,

⁶ Zest AI (2023) *Zest AI announces FairBoost, A tool for fairer and clearer credit underwriting for lenders*, PR Newswire. Available at: <https://www.prnewswire.com/news-releases/zest-ai-announces-fairboost-a-tool-for-fairer-and-clearer-credit-underwriting-for-lenders-301862754.html> (Accessed: August 5, 2024).

⁷ The Federal Deposit Insurance Corporation (FDIC), the Board of Governors of the Federal Reserve System (FRB), and the Office of the Comptroller of the Currency (OCC) (collectively, the agencies) (2023) *Interagency guidance on third-party relationships: Risk management*. Available at: <https://www.fdic.gov/news/financial-institution-letters/2023/fil23029.html> (Accessed: July 16, 2024).



including models acquired through them. Further, banking agencies’ model risk management guidance⁸ provides a framework for financial institutions and vendors to develop and manage models through testing and validation. The OCC updated its MRM Guidance in 2021, specifically detailing its applicability to AI technologies.⁹

In the financial markets context, federal laws police for fraud and manipulation in trading activities, irrespective of the technology utilized. Market regulators have further established risk management frameworks to mitigate technology risks through model governance expectations or by imposing circuit breakers for exchanges. These frameworks have effectively mitigated risk in financial markets as AI-based trading technologies have been widely adopted over the past few decades.

To this final point, it is important to underscore that existing legal, regulatory, and risk management frameworks have proven adept at facilitating the responsible adoption of AI technologies in financial markets and services over time. As discussed further below, while it remains important to monitor new risks and potentially enhance clarity and update regulatory expectations, a “new” regulatory approach to the use of AI in the financial services or markets context is not necessary. Confirming this reality can unlock increased adoption and innovation involving AI within financial services.

C. A National AI Action Plan Should Encourage Fintech-FI Partnerships to Overcome AI Access Barriers

As noted above, promoting collaboration between smaller FIs and AI-technology providers to access leading AI solutions can help address adoption challenges that smaller firms may otherwise face. Developing and implementing AI solutions can be resource-intensive, potentially posing a barrier to smaller FIs. By partnering with technology providers, smaller institutions can leverage leading AI tools and infrastructure, thereby reducing financial burdens and accelerating adoption. This collaboration can help bridge the knowledge and resource gaps, enabling smaller institutions to effectively implement and utilize AI technologies to remain competitive with larger FIs and better serve their customers.

While recent banking agency third-party risk management guidance was a step in the right direction,¹⁰ more action is needed to foster bank-fintech partnerships and encourage AI technology

⁸ Board of Governors of the Federal Reserve System (FRB), Office of the Comptroller of the Currency (OCC) (2011) *Supervisory Guidance on Model Risk Management*. Available at: <https://www.federalreserve.gov/supervisionreg/srletters/sr1107a1.pdf>

⁹ Office of the Comptroller of the Currency (OCC) (2021) *Model risk management: New Comptroller’s Handbook Booklet*, Office of the Comptroller of the Currency (OCC). Available at: <https://occ.gov/news-issuances/bulletins/2021/bulletin-2021-39.html> (Accessed: August 5, 2024).

¹⁰ The Federal Deposit Insurance Corporation (FDIC), the Board of Governors of the Federal Reserve System (FRB), and the Office of the Comptroller of the Currency (OCC) (collectively, the agencies) (2023) *Interagency guidance on third-party*



adoption. To this end, it is critical that the banking agencies reverse what is currently perceived as hostility towards such partnerships—evidenced by disproportionate regulatory enforcement actions against banks that partner with fintechs¹¹—and leverage their soft power to support technology adoption, as detailed above. Failure to encourage responsible AI adoption will undermine the overall competitiveness and effectiveness of the U.S. financial services industry, disproportionately impacting smaller FIs.

II. An AI Action Plan Should Adopt a Unified National Regulatory Approach to AI Technologies to Avoid Patchwork Regulations and Prevent Unfair Global Treatment of American Companies

A. Patchwork State Regulations Create Uncertainty and Unnecessary Compliance Challenges

To foster a conducive environment for AI innovation, policymakers should adopt a unified regulatory approach at the national level. This streamlined approach is *essential* to prevent the imposition of duplicative, conflicting and burdensome regulations on AI model developers who must navigate compliance across both state and federal jurisdictions.

Currently, a disparate patchwork of state regulations for AI development poses a threat to innovation. Such fragmentation can stifle technological advancement and impose complex compliance burdens on entities utilizing AI for essential and beneficial use cases, such as streamlining processes and efficiently delivering products to consumers. For this reason, policies concerning borderless technologies should ideally be implemented at the national level—a point that should be emphasized in a national AI Action Plan. At the very least, states that choose to regulate AI should pursue uniform, model laws to prevent exacerbating regulatory fragmentation and confusion.

One way that states can promote uniformity is by recognizing compliance efforts undertaken by an AI model deployer that satisfy similar requirements in other states. For instance, FTA urges states to adopt regulations that acknowledge and integrate impact assessments conducted pursuant to other state requirements. Specifically, we recommend the following provision that would create a model for multi-state compliance and reciprocity:

“If a deployer, or a third party contracted by the deployer, completes an impact assessment for the purpose of complying with another applicable law or regulation, such impact assessment

relationships: Risk management, Federal Deposit Insurance Corporation (FDIC). Available at: <https://www.fdic.gov/news/financial-institution-letters/2023/fil23029.html> (Accessed: July 16, 2024).

¹¹ Campbell, K. (2024) Fintech partner banks facing “volatile mix” of supervisory scrutiny, *American Banker*. Available at: <https://www.americanbanker.com/news/fintech-partner-banks-facing-volatile-mix-of-supervisory-scrutiny> (Accessed: August 5, 2024).



shall be deemed to satisfy the requirements established in this [regulation] if such impact assessment is reasonably similar in scope and effect to the impact assessment that would otherwise be completed pursuant to this [regulation].”¹²

Adopting a unified regulatory approach to AI development will streamline compliance procedures and significantly reduce costs and administrative burdens. This will enable financial institutions and innovators to allocate resources toward developing and implementing innovative AI solutions, accelerating the pace of innovation.

B. Global Coordination and Leadership is Needed to Enhance U.S. Competitiveness in AI Technologies and Defend Against Foreign Discriminatory or Punitive Measures

While establishing a unified national regulatory framework is essential to avoid fragmentation at the state and federal level, extending this coherence internationally is equally critical. Such alignment is key to maintaining and enhancing the U.S. global competitiveness and leadership in AI technologies. It ensures that U.S. regulations are streamlined and globally harmonized, preventing them from becoming overly burdensome or disadvantageous to U.S. AI developers on the global stage.

Accordingly, the U.S. must assume a leadership role internationally to guide the development of responsible AI technologies and regulatory standards—and to deter discriminatory or punitive measures directed at U.S. companies. By proactively engaging with international jurisdictions and shaping global regulatory norms, the U.S. can promote a regulatory environment that fosters innovation while ensuring robust safeguards. This leadership should not only shape international dialogue on responsible AI but also demonstrate effective management of regulatory challenges, ensuring the continued competitiveness and dynamism of the U.S. economy globally. Importantly, such leadership will also help guard against anti-competitive or protectionist measures deployed by foreign jurisdictions seeking to disadvantage U.S. industry.

III. To Enhance Clarity and Certainty Needed for AI Adoption in Financial Services, an AI Action Plan Should Support Application of Well-Known Risk Management Frameworks and the Development of Standards-Setting Organizations (SSOs)

While existing legal and regulatory frameworks are able to facilitate the responsible adoption of emerging technologies, including AI, involved stakeholders should continue monitoring for potential new risks and challenges. Key areas of focus include model risk, data management, and third-party risk. By operating within current regulatory and guidance frameworks, an AI Action

¹² Financial Technology Association (FTA) (2024a) “FTA Opposition to AB 2930.” Available at: <https://www.ftassociation.org/wp-content/uploads/2024/06/FTA-CA-AI-Letter-vF.pdf> (Accessed: July 16, 2024).



Plan can further mitigate these identifiable risks by promoting standards development and enhancing risk management frameworks.

To this end, given the technical nature and complexity of AI technologies, it is critical that policymakers and regulators leverage existing and developing standards and model risk frameworks to mitigate risks. Accepted standards are necessary in areas such as model transparency, explainability, and testing. Policymakers can foster this development by empowering standards setting organizations (SSOs), creating safe harbors for standards adherence or by viewing such adherence as demonstrating good faith compliance efforts. Acting Chair of the FDIC, Travis Hill, recently supported exploration of SSOs stating that “[i]t is also worth revisiting the possibility of a public-private standard setting organization that would establish standards for due diligence of fintech vendors and technologies, which would reduce the need for each bank that partners with a fintech to conduct costly, time-consuming due diligence of its own.”¹³

More specifically, new explainability techniques and tools are emerging that can enhance understanding of model outputs across various AI applications and use cases. Regulators should recognize the importance of explainable AI and actively encourage the development of tools providing insights into AI decision-making. SSOs, leveraging their technical expertise, can help identify and promote these explainability tools, ensuring standards evolve alongside technological advancements.

In consumer underwriting, regulators should encourage adoption of AI models capable of offering greater transparency into how a model reaches a particular outcome relative to legacy models or approaches.¹⁴ Transparent and explainable AI should be recognized for its potential to mitigate bias in traditional approaches, such as reliance on flawed traditional credit scores,¹⁵ thereby enhancing fairness and promoting financial inclusion.¹⁶

Given the highly technical nature of AI development, governance, and monitoring, FTA recommends that an AI Action Plan supports use of various regulatory tools that can help industry and regulators keep pace. Specifically, regulators should encourage industry standards

¹³ Hill, T. (2025) *Charting a new course: Preliminary thoughts on FDIC policy issues*. Available at: <https://www.fdic.gov/news/speeches/2025/charting-new-course-preliminary-thoughts-fdic-policy-issues/>.

¹⁴ FinRegLab (2023) Fact sheet: Explainability & fairness in machine learning for credit underwriting: Policy & empirical findings. Available at: <https://finreglab.org/research/fact-sheet-explainability-fairness-in-ml-policy-and-empirical-findings/> (Accessed: August 5, 2024).

¹⁵ Klein, A. (2020) “Reducing Bias in AI-based Financial Services,” Brookings Institution. Available at: <https://www.brookings.edu/articles/reducing-bias-in-ai-based-financial-services/>.

¹⁶ See Upbin, B. (2020) *Making AI Less Biased is Becoming a Big Deal*, Zest AI, 5 November. Available at: <https://www.zest.ai/insights/making-ai-less-biased-is-becoming-a-big-deal>; Ficklin, P. and Upbin, B. (2019) *An Update on Credit Access and the Bureau’s First No-Action Letter*, Consumer Financial Protection Bureau. Available at: <https://www.consumerfinance.gov/about-us/blog/update-credit-access-and-no-action-letter/> [noting that Upstart’s AI model approves 27% more borrowers than traditional lending models with 16% lower average APRs for approved loans].



development and risk management frameworks through safe harbors and active support of SSOs. The National Institute of Standards and Technology (NIST) AI Risk Management Framework (AI RMF), for example, can be tailored further for financial services applications and recognized by regulators as effectively reflecting regulatory expectations.¹⁷ Adherence to these standards should constitute clear evidence of good-faith compliance. Effective standards and risk management approaches that should be recognized by regulators include:¹⁸

- *Risk-based Approach:* Consistent with model risk management principles, AI policy frameworks must be risk-based, ensuring businesses using AI in low-risk use cases are not subjected to the same requirements necessary for the most sensitive use cases. It is important to avoid blanket labeling of entire sectors—such as all financial services—as “high-risk,” as this could unnecessarily stifle innovation.
- *Diverse Testing Methods:* Employing a variety of testing methods, including backtesting, benchmarking, outcomes analysis, sensitivity analysis, and ongoing stress testing.
- *Robust Data Governance:* Establishing processes to ensure the accuracy, completeness, and reliability of data used in AI models.
- *Appropriate Controls:* Implementing controls to safeguard sensitive customer information throughout the AI lifecycle.
- *Transparency and Accountability:* Maintaining clear documentation and accountability regarding data sources, data usage, and potential biases.
- *Multi-layered Risk Management:* Involving developers and regularly monitoring AI systems to ensure performance aligns with intended purposes, for example through audit functions.
- *Responsibilities for Different AI Actors:* Recognizing that the AI ecosystem includes developers, deployers, and users, governance policies should assign responsibilities appropriately among these actors.
- *Explainable AI:* Prioritizing the development and use of explainable AI models and techniques to enhance transparency and mitigate bias.
- *Staff Training and Development:* Investing in programs to equip staff with necessary skills and expertise to manage AI risks effectively.

There is existing precedent for regulators creating effective safe harbors for firms that adhere to well-accepted standards, such as the NIST AI RMF or those developed by other recognized SSOs. Regulators across various technical domains have relied on industry standards-setting bodies to

¹⁷ National Institute of Standards and Technology (2023) *NIST AI Risk Management Framework*, National Institute of Standards and Technology. Available at: <https://www.nist.gov/itl/ai-risk-management-framework> (Accessed: July 1, 2024).

¹⁸ These approaches are underpinned by regulatory guidance and standards, such as the “Supervisory Guidance on Model Risk Management” (SR 11-7) and the NIST AI RMF. The NIST AI RMF offers clear guidance on understanding and managing AI risks, including integrating AI governance into existing governance structures and processes. Additionally, the NIST’s recent draft AI RMF Generative AI Profile addresses unique risks posed by GenAI.



develop technical frameworks, using compliance as an indicator of regulatory adherence. For example, Singapore recognizes ISO/IEC 27001 in its Cyber Trust and Finance-as-a-Service API Playbook¹⁹, while the UK and Australia²⁰ integrate industry standards into open banking regulations. In AI governance, Japan promotes ISO/IEC 42001²¹, and India's financial regulators rely on ISO 27000 for banking security²². This approach makes sense in the context of increasingly complex or intricate technologies, where regulators will struggle to keep pace. Adopting a similar strategy for AI technologies can clarify regulatory expectations, fostering alignment with established standards and promoting effective risk management.

To this end, SSOs can play a critical role in assessing the effectiveness of various approaches to AI risk mitigation that are grounded in technical understanding. Currently, there is discussion around the merits and trustworthiness of open-source AI models, and whether they adequately satisfy MRM expectations. Additionally, there is ongoing focus about assessing the quality and veracity of unverified external datasets. An SSO can help identify compliance red herrings that could mislead firms regarding what constitutes appropriate compliance and risk management measures.

IV. By Supporting Comprehensive National Data Privacy Legislation and Making Available High-Quality Data Sets, the AI Action Plan Can Ensure Responsible Access To Data Needed To Power AI Models

A. Enhance National Data Privacy, Governance, and Security with Comprehensive National Data Privacy Legislation

Data is the key ingredient in developing, training and operating responsible AI models. Given the centrality of data, it is critical that the U.S. develop a baseline national legal framework that can ensure that data is properly collected and permissioned, high-quality, and safeguarded. FTA accordingly has called for the promulgation of comprehensive federal data privacy legislation that safeguards consumers, ensures certainty, and fosters responsible innovation.²³ Consumer data

¹⁹ The Association of Banks in Singapore and Monetary Authority of Singapore (MAS) (2016) *ABS-MAS Financial World | Finance-as-a-Service: API PlayBook*, p. 41. Available at: <https://www.mas.gov.sg/-/media/mas/smart-financial-centre/api/absmasapiplaybook.pdf>.

²⁰ Australian Government and Consumer Data Right (2022) *Supplementary accreditation Guidelines: Information Security*, p. 8. Available at: <https://www.cdr.gov.au/sites/default/files/2022-12/CDR-Supplementary-accreditation-guidelines-information-security-version-5-December-2022.pdf#page=9&zoom=100,92,250>.

²¹ Japan Ministry of Economy, Trade and Industry (2024) *New International Standard for AI Management Systems published, METI*. Japan Ministry of Economy, Trade and Industry. Available at: https://www.meti.go.jp/english/press/2024/0115_002.html (Accessed: February 25, 2025).

²² Carter, W. and Crumpler, W. (2019) *Financial sector cybersecurity requirements in the Asia-Pacific region, Center for Strategic and International Studies (CSIS)*, p. 22. Available at: <https://www.jstor.org/stable/pdf/resrep22555.5.pdf>.

²³ See Financial Technology Association (FTA) (2024b) *FTA Policy Agenda for the Future of Finance*. Available at: https://www.ftaassociation.org/wp-content/uploads/2024/07/FTA_FutureofFinanceAgenda_240701.pdf (Accessed: August 5, 2024). See also Financial Technology Association (FTA) (2022) "Commercial Surveillance ANPR and Request for Comment"



should be protected by data security standards that are fit for purpose and designed for today's modern digital finance age. These standards should support robust data protection for consumers and be informed by leading security practices.

A strong focus on data governance and security—including data lineage and transparency of data access—is essential to address data quality risks associated with AI model development. Currently, a patchwork of state-level privacy laws creates inconsistent experiences for consumers and small businesses based on their location, causing confusion and uncertainty. State-based privacy requirements also pose challenges for AI model developers operating at the national level, as they must navigate different state-specific data requirements. For these reasons, a federal privacy standard is essential to ensure consistent protection, allowing consumers and businesses to confidently and securely share data that may be used to develop AI models. This approach also reinforces consumer control over personal data and fosters responsible AI innovation.

B. Ensure Access to High-Quality Datasets and Amend the CFPB's Implementation of Dodd Frank Section 1033 Open Banking Requirements

As discussed, ensuring the quality and integrity of data used to develop and train AI models is paramount. To further support responsible AI innovation, and enhance fairness and accuracy, policymakers should:

- **Ensure Dodd-Frank Section 1033 Fosters Responsible AI Model Development:** In finalizing Dodd-Frank Section 1033 open banking rules under the prior Administration, the CFPB imposed broad restrictions on secondary data use by providers receiving permissioned data via the rule's mechanisms. A national AI Action Plan should call on the CFPB to amend the final rule to permit the secondary use of financial data and de-identified data, with appropriate disclosures and safeguards. Excessive data restrictions on data collection, retention, and use will undermine consumer interests by reducing the ability of third parties to develop new AI-based products and services and offer consumers additional products that compete with their legacy providers. A blanket prohibition on de-identified data use will hinder further U.S. global competitiveness in developing responsible AI technologies, which has significant potential across various financial services areas, including improving the fairness of consumer underwriting, enhancing compliance, and improving fraud detection. Done right, Section 1033 can create a transparent and regulated pipeline of high-quality data, subject to appropriate safeguards, for responsible AI innovation and enhance consumer outcomes.

- **Promote Open Finance Frameworks:** Beyond calling for amendment of Section 1033 open banking requirements, a national AI Action Plan should advocate for the broadening of this baseline into an “open finance” framework. Given the importance of financial data in providing consumers a holistic view of their financial lives and enabling financial services firms to develop AI models, this framework should encompass the broadest possible range of datasets. Full access to the full range of their financial data allows consumers to better assess their financial health and wellness and enables them to access the broadest range of financial products and services. It further allows AI model developers to access broader sets of high-quality data in order to train and develop such models. Accordingly, an open finance framework should include brokerage, savings and pension funds, government benefits, payroll, telecom, utility, and government-related accounts, which can provide, for example, benefits information.
- **Provide Access to Government-Held Nationally Representative Datasets:** Government-held datasets contain diverse, high-quality, and comprehensive information about individuals and their consumer financial behaviors, employment histories, and other relevant factors, making them valuable assets for training AI models. Providing model developers with access to these datasets—subject to appropriate safeguards—can improve the accuracy and fairness of algorithms and mitigate biased outcomes stemming from AI models trained on biased or incomplete data.

Incorporating government-held datasets into an open finance framework, as discussed above, would further enhance the accuracy and inclusivity of AI models. By considering a broader range of factors, AI models can more effectively assess creditworthiness and guide informed financial decision-making.

V. **Enhance Regulatory Agency Expertise, Foster Public-Private Collaboration, and Support Use of AI to Advance Regulatory Compliance**

A. *Strengthening Regulatory Agency Expertise*

To promote the responsible development of AI in financial services, a national AI Action Plan should call on financial regulators to prioritize the establishment of dedicated innovation offices. These offices would serve as hubs for expertise, focusing on:

1. Deepening Understanding:

Innovation offices would go beyond simply acknowledging the presence of AI in finance; they would actively cultivate a deep, technical understanding of AI’s application across financial services, including consumer lending, credit scoring, investment management, and fraud detection. Specifically, this involves:

- **Engaging with Industry:** Regularly engaging with fintech companies and financial institutions to better understand AI development and implementation practices, fostering open communication and collaboration.
- **Conducting Research:** Performing independent research and analysis on AI applications in finance, staying informed of technological advancements, and identifying potential benefits and risks.
- **Developing Expertise:** Building internal regulatory expertise in AI concepts, techniques and risk management considerations to enable informed and effective policymaking.

2. Attracting Specialized Talent:

To effectively oversee the rapidly evolving AI landscape in finance, regulators need specialized expertise. Innovation offices can facilitate this by:

- **Targeted Recruitment:** Developing targeted recruitment strategies to attract experts in AI, machine learning, data science, and related fields.
- **Upskilling Existing Staff:** Providing training and development opportunities for existing staff to deepen their understanding of AI and its regulatory implications.
- **Broadening Expertise:** Prioritizing a broad range of technical expertise in recruitment efforts to ensure coverage of emerging technologies within the innovation office.

3. Leveraging Regtech:

Innovation offices should not only understand and regulate AI but also leverage its capabilities to enhance regulatory oversight. To this end, regulators should pursue modernization of regulatory infrastructure—for example, replacing outdated “batch and send” reporting systems that impose high costs on both industry and regulators. Implementing standardized, API-enabled reporting can reduce costs for all parties and generate actionable data and insights. Additionally, developing machine-readable and executable rulebooks can further automate compliance processes, improving overall regulatory effectiveness. Such technology upleveling would facilitate greater adoption of AI-driven solutions, streamlining regulatory oversight and enhancing regulatory efficiency.

B. Fostering Public-Private Collaboration

An AI Action Plan should urge regulators to create fintech and regtech advisory committees pursuant to the Federal Advisory Committee Act (FACA). These committees can help regulators remain informed about fintech and regtech developments, identify promising opportunities for innovation, and improve financial services and markets. While many agencies already have technology-focused committees, a targeted mandate to explore fintech and regtech developments would deepen regulators’ understanding and enhance overall literacy and understanding. Congress set a notable precedent in the Anti-Money Laundering Act of 2020, which created a subcommittee



on Innovation and Technology within the Bank Secrecy Act Advisory Group (BSAAG) specifically tasked with advising regulators on regtech innovation.

C. Supporting Adoption of AI Technologies to Advance Regulatory Compliance

An AI Action Plan should actively encourage the adoption of AI-driven solutions to enhance regulatory compliance. Regulators can build upon prior efforts—such as the 2018 joint statement from FinCEN, the Board of Governors of the Federal Reserve System, the Federal Deposit Insurance Corporation, the National Credit Union Administration, and the Office of the Comptroller of the Currency—which encouraged financial institutions to adopt innovative approaches in their AML compliance programs. In that statement, the Agencies specifically underscored the important role of technology, noting that “[t]he Agencies recognize that private sector innovation, including new ways of using existing tools or adopting new technologies, can help banks identify and report money laundering, terrorist financing, and other illicit financial activity by enhancing the effectiveness and efficiency of banks’ BSA/AML compliance programs.”²⁴ Regulators should expand on these previous initiatives to encourage the financial industry’s investment in and adoption of AI-powered regtech solutions.

*

*

*

FTA urges the government to issue an AI Action Plan with dedicated sections addressing financial services, ensuring that AI’s potential in this sector is fully realized. A tailored strategy will provide clear guidance for regulators, support responsible AI adoption, and foster innovation while maintaining strong consumer protections. We appreciate the opportunity to contribute to this discussion and look forward to continued engagement in shaping policies that advance AI-driven financial services.

Sincerely,

Penny Lee
President and Chief Executive Officer
Financial Technology Association

²⁴ U.S. Department of the Treasury (2018) *Treasury’s FinCEN and federal banking agencies issue joint statement encouraging innovative industry approaches to AML compliance*. Available at: <https://home.treasury.gov/news/press-releases/sm562>.



This document is approved for public dissemination. The document contains no business-proprietary or confidential information. Document contents may be reused by the government in developing the AI Action Plan and associated documents without attribution.